

PRESS RELEASE

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Refinancing Rate for March 25, 2014

The CBA Board Meeting of March 25, 2014 attended by Deputy Chairman Nerses Yeritsyan, and Board Members Ashot Mkrtchyan, Artur Stepanyan, Vakhtang Abrahamyan, and Oleg Aghasyan.

The Board Meeting opened with presentation of Situation Report as of March 25, 2014. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

There was 1.2 percent deflation in February of 2014 against that of 0.4% recorded for the same period of the previous year, in which case the 12-month inflation continued to decline to 4.6% at the end of the month. The price fall in February was largely due to a 1.8% drop in food product prices (contribution to deflation: 1.0 pp), with the prices of “Fruit” and “Vegetable and potato” groups reduced by 8.2% and 7.7%, respectively. Non-food prices and services tariffs decreased by 0.3% and 0.5%, respectively, during the month, which contributed to headline deflation by 0.1% pp each.

The year ended with economic activity indicator of 3.5% as a result of continued slowdown in economic activity in the second half of 2013. A slowing of growth rates was observable over the first two months of 2014 too, as the economic activity indicator amounted to 2.4% mainly due to a slow pace of recovery in construction sector. Private consumption growth rates remained sluggish while slower-than-anticipated recovery of private investment was reported early in the year, and the first quarter is expected to end with a 1.3% y/y growth for private consumption and -4.8% y/y growth for private investment. Taking into account the impact of the expansionary fiscal policy in 2014 on domestic demand, some acceleration of economic growth rates is expected thanks to the implementation of programs in industry and agriculture and major state road construction projects.

According to January-February 2014 results, export (trade statistics: FOB) has decreased by 3.2% and import (trade statistics: CIF) by 6.7% in comparison with the same reference period last year.

In the meanwhile, net inflow of non-commercial transfers by individuals via the banking system has grown by 9.0% y/y.

The Board reflected on the developments in the financial market. Based on the median first quarter results, interest rates continued trending downward, yet expectations for depreciating dram has absorbed the impact of refinancing rate cut on short-term market interest rates, in March the market rates remained almost unchanged. Thus, as of March 17th, average monthly interbank repo rate stood at 7.9%; in the primary market, average interest rate of treasury bills with up to 1-year of maturity, 8.05%, and average interbank loan rate amounted to 7.4%.

Gradual depreciation of the dram was observable in the domestic foreign exchange market since the beginning of the year: as of 17th of March, relative to the previous month, average dram exchange rate has depreciated versus the U.S. dollar by 0.74% to AMD 414.6; versus the Euro by 2.1% to AMD 573.6 but appreciated versus the Russian ruble by 2.4 percent to AMD 11.4.

In the first quarter of 2014, the world economic growth rates continued slowing while geopolitical environment has brought in even more uncertainties with growth outlooks. In February, short-term increases in food prices were reported in food markets and, accordingly, the FAO's Food Price Index of March 6, 2014 came out with 2.6 percent rise for February against the previous month's index (the index had dropped by 2.1% relative to the same period of the previous year).

According to the Central Bank estimates, in the first quarter of 2015 the average price of "Brent" crude, as quoted at Intercontinental Exchange, will drop by 1.0% against the previous quarter (with 4.0 percent reduction y/y). At London Metal Exchange, the copper price will increase by 0.1% q/q (with 9.8 percent decrease y/y). Based on the U.S. Department of Agriculture and New York Board-Intercontinental Exchange data, export prices of Hard Red Wheat and Rough Sugar are expected to fall by 6.0% q/q (with 10.8 percent decrease y/y) and 8.7% q/q (with 12.2 percent decrease y/y), respectively.

In the first quarter of 2014 the Euro appreciated versus the U.S. dollar by 0.65%; the European currency's y/y appreciation versus the dollar has been 3.75%.

Following presentation of the Situation Report, the Board began discussing the developments in external and domestic macro-environments as well as the monetary policy directions.

The Board admits that uncertainties in the global economy and partner countries' growth outlooks have increased considerably in the light of geopolitical developments.

The estimation is that economic growth rates remained sluggish at the start of 2014, primarily due to a slow recovery in the construction sector. The Board believes that the monetary conditions that had been loosened to date, coupled with an expansionary fiscal policy expected to carry out from the second half, will lead to the expanding of aggregate demand and restoring of inflation, helping the 12-month inflation rate shape around its target. At the same time, the dram depreciation observable since the beginning of the year as well as the lowering by the Central Bank of reserve requirement ratio against dram liabilities in February will also contribute to the growth of aggregate demand.

Nevertheless, the Central Bank agrees that in view of further developments in external and domestic sectors it will adjust the monetary policy directions accordingly, while securing the fulfillment of the inflation target in the medium run.

In the March 25, 2014 meeting, the Board of the CBA decided to leave the Refinancing Rate unchanged, at 7.5%; the Lombard Repo Facility Rate and Deposit Facility Rate are set to be 9% and 6%, respectively.

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